

How can we get funding today for fixing social problems which will cost government in the future (social investment)?

Government tends to, naturally enough, spend money on immediate priorities. This means today's resources are spent on dealing with today's social problems, including the legacy of yesterday's social problems. It is harder to get resources allocated for preventing social problems that are likely to generate costs tomorrow.

Traditionally, the argument for preventing problems arising in the future has often been presented in terms of citizens' rights or social or moral claims related to being protected from future harm that may arise from their current situation. This is a perfectly legitimate line of reasoning. However, the fourth rationale in Determining Whose Outcomes - Citizens' or Government's - From The Four Rationales for Government Assistance Framework [B20] points to an additional line of argument.

The fourth rationale looks to the financial implications arising from the government allowing social problems to continue into the future. Once you adopt this perspective, there is the possibility of, in a sense, taking potential future savings of social expenditure and using them to fix today's social problems. If this social investment approach works, it should lead to reduced future expenditure for the government.

Obviously, such an approach requires that you can identify interventions that can be done today that will effectively reduce social problems in the future and therefore lead to a reduction in future government expenditure. This Suitability of a Social Investment Approach Checklist (E11) identifies when the approach is likely to be appropriate.

Implementing a social investment approach involves actuarial work to estimate future savings arising from today's investment in reducing social problems. To do this work robustly, you need to have robust effect-size estimates for the interventions being used. Such effect-size measurements are obtained through the use of appropriate impact evaluation design types from the Impact Evaluation Design Types (G11).